

the assembly level. For instance, in the production of iPhones and other electronics, we are assembling end products. While this is a start, we need to shift toward local value addition, meaning the production of sub-components and aggregates. If these components are not manufactured locally, we risk remaining dependent on imports for critical inputs, which limits the value we derive from the manufacturing process. I do see a shift in

While changes are happening, are all MSMEs well-funded? No, there are still significant gaps in terms of credit. If you look at banks and fintech companies, many are focused on MSME lending, but the penetration still has a long way to go. Addressing this gap will be critical. As you rightly mentioned, the role of the new generation is equally important. Often, the focus is solely on very large companies and what the government needs to

Interestingly, they did not receive PLI approval. What the PLI scheme has done is bring these opportunities into the spotlight. Many companies applied for it—some received approval, while others did not. But it made businesses think more deeply and strategically about these sectors.

Even though Exide did not qualify for PLI incentives, they still went ahead with their investment. Of course, for those who qualify, the incentive improves

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How do you see India's progress in sunrise sectors like renewable energy, green hydrogen, and EV batteries?

It's not a uniform picture. If we look at the energy transition ecosystem, I think India is well-positioned. For example, in the solar value chain, just a few years ago, we were fully dependent on imports for panels and modules. However, recent policy changes have enabled us to build sufficient module manufacturing capacity, and now many companies are evaluating cell manufacturing as well. This could eventually become more cost-effective than importing, although it may not yet be 100% cheaper due to factors like power costs. The intent, however, is to drive efficiencies and achieve cost competitiveness. In the wind energy ecosystem, we already have established players.

In the battery ecosystem, we now have one established company, and many others are exploring the production of components and modules.

India is positioning itself well in the energy ecosystem to potentially become a significant exporter of green energy over time, reducing its reliance on imported gas.

@anandadhikari

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the mindset, but many of these components cannot be manufactured solely by large companies. They require active participation from the SME and MSME sectors, which are vital for developing a full value-chain ecosystem.

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MSMEs are receiving funding support from banks and new-age NBFCs, as cash flow lending is gaining traction. Do you also see a change underway?

do, but all these elements need to work in unison to drive real change.

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Are developments, like in semiconductor manufacturing, happening mainly because of incentives under schemes like PLI?

I think the answer is both yes and no. For example, in battery manufacturing, the only large-scale lithium-ion set-up currently operational is the one established by Exide.

the return on investment or internal rate of return, making the business case more attractive.

However, incentives are not the primary reason companies undertake such projects.

Businesses aim to create long-term economic value, generate jobs, and establish a strong market position.

Incentives simply act as an additional benefit, encouraging companies to evaluate opportunities more closely.